EXECUTION COPY

DATED **27** MARCH 2026

(1) HARROW PRECISION ENGINEERING LIMITED

and

(2) PHILIP MARSDEN

SETTLEMENT AGREEMENT

This agreement is made for the purpose of settling, on the terms set out below, claims arising out of the employment of the Employee by the Company and its termination. It is intended by the parties to be an effective settlement agreement for the purposes of section 203 of the Employment Rights Act 1996 and the other statutory provisions referred to in clause 6.

THIS AGREEMENT is made on 27 March 2026

PARTIES

(1) HARROW PRECISION ENGINEERING LIMITED, a company incorporated in England and Wales with registered number 03562148 whose registered office is at Brookfield Works, Carlton Road, Sheffield S4 7QQ (the "Company"); and

(2) PHILIP MARSDEN of 14 Dovedale Close, Dronfield, Derbyshire S18 2HN (the "Employee").

The Company and the Employee are together referred to as the "parties" and each as a "party".

BACKGROUND

(A) The Employee was employed by the Company under a contract of employment (service agreement) dated 8 February 2016 (the "Service Agreement"), most recently in the position of Sales & Commercial Director.

(B) The Employee tendered his resignation on 23 January 2026 and raised a grievance dated 29 January 2026. The Employee has been on garden leave since 3 February 2026.

(C) The Employee's employment will terminate on the Termination Date (as defined below). The parties have agreed to enter into this agreement to record the terms on which the Employee's employment will end and to settle the claims described in clause 5 on a full and final basis.

(D) The parties intend this agreement to satisfy the conditions for regulating settlement agreements under the relevant statutory provisions referred to in clause 6.

1 DEFINITIONS AND INTERPRETATION

1.1 In this agreement the following definitions apply:

"Adviser" means Alistair Whitlock of Pemberton Rowe LLP, 5 Temple Row, Birmingham B2 5LG;

"Confidential Information" means all information (in whatever form) relating to the business, customers, suppliers, finances, products, designs, pricing, methods, processes and affairs of the Company and any Group Company which is not in the public domain, including the matters described in clause 9;

"Group Company" means the Company, any holding company of the Company and any subsidiary of the Company or of any such holding company, as those terms are defined in section 1159 of the Companies Act 2006;

"Settlement Payment" means the payment described in clause 4.1;

"Service Agreement" means the contract dated 8 February 2016 referred to in Recital (A);

"Termination Date" means 31 March 2026, being the date on which the Employee's employment with the Company terminates.

1.2 Clause headings do not affect interpretation. References to clauses are to clauses of this agreement. The schedules form part of this agreement. Words importing the singular include the plural and vice versa. A reference to a statute includes any subordinate legislation made under it and is to that statute as amended or re-enacted.

2 TERMINATION OF EMPLOYMENT

2.1 The Employee's employment with the Company terminates on the Termination Date. The Employee will remain on garden leave on full pay and benefits until the Termination Date and clause 16 (garden leave) of the Service Agreement continues to apply.

2.2 The Company will pay the Employee his salary and provide his contractual benefits in the usual way, subject to deductions for income tax and National Insurance contributions, up to and including the Termination Date.

2.3 The Employee will resign as a director of the Company and of any Group Company with effect from the Termination Date by signing the letters of resignation in the form set out in Appendix 2, and will do all such further things as the Company reasonably requires to give effect to those resignations.

3 RETURN OF PROPERTY AND OUTSTANDING MATTERS

3.1 On or before the Termination Date the Employee will return to the Company all property belonging to the Company or any Group Company in his possession or control, including his laptop, mobile telephone, security passes, keys, documents, records (in whatever form) and any Confidential Information, and will not retain any copies.

3.2 The Employee confirms that he has not made and will not retain any copy, electronic or otherwise, of any Confidential Information, save as required to obtain advice on this agreement.

3.3 The Company will reimburse the Employee's outstanding and properly incurred business expenses up to the Termination Date in accordance with its usual policy, subject to production of receipts by no later than 30 April 2026.

4 SETTLEMENT PAYMENTS AND BENEFITS

4.1 Subject to and conditional upon the Employee complying with the terms of this agreement, the Company will, within 28 days of the later of (a) the Termination Date and (b) the date on which the Company receives a copy of this agreement signed by the Employee and the certificate signed by the Adviser, make the following payments and provide the following benefits:

	Description	Amount
4.1.1	Ex gratia compensation for loss of office (the first £30,000 of which the Company understands may be paid without deduction of income tax under sections 401–403 ITEPA 2003; the balance being subject to deductions)	£95,000
4.1.2	Pro-rated discretionary bonus for the financial year ended 30 September 2025, paid through payroll subject to deductions	£24,850
4.1.3	Payment in respect of accrued but untaken holiday, paid through payroll subject to deductions	£4,380
4.1.4	Outplacement support to be provided by a provider of the Employee's choosing, up to	£5,000
4.1.5	Contribution to the Employee's legal fees, paid directly to the Adviser's firm against an invoice addressed to the Employee and marked payable by the Company (plus VAT)	£1,500

4.2 The total cash sum payable to the Employee under clauses 4.1.1 to 4.1.3 is £124,230. The Company will account to HM Revenue & Customs for any income tax and employee National Insurance contributions due on the taxable elements through PAYE.

4.3 The Company will continue to provide private medical insurance cover for the Employee until the Termination Date. The Employee's participation in the Company pension scheme will cease on the Termination Date.

4.4 The Employee acknowledges that the unvested growth shares awarded to him under the Company's 2019 Growth Share Plan will lapse and be of no value on the Termination Date in accordance with the rules of that plan, and that he has no further entitlement under any incentive, bonus or share arrangement save as expressly set out in this agreement.

5 SETTLEMENT OF CLAIMS

5.1 The terms of this agreement are in full and final settlement of all and any claims, costs, expenses or rights of action of any kind whatsoever, whether under the law of England and Wales or any other jurisdiction, which the Employee has or may have against the Company or any Group Company or its or their officers, employees or workers arising out of or in connection with his employment, its termination or otherwise, including in particular (but without limitation) the claims listed in clause 5.2 (the "Claims").

5.2 The Claims are:

5.2.1 claims for unfair dismissal and constructive unfair dismissal under sections 94 and 95 of the Employment Rights Act 1996;

5.2.2 claims of automatically unfair dismissal and detriment on the ground of having made a protected disclosure under sections 47B, 103A and Part IVA of the Employment Rights Act 1996;

5.2.3 claims for a redundancy payment, whether statutory or contractual;

5.2.4 claims for wrongful dismissal, breach of contract and unlawful deduction from wages;

5.2.5 claims for arrears of pay, holiday pay, bonus or other benefits;

5.2.6 claims under the Equality Act 2010 for direct or indirect discrimination, harassment or victimisation;

5.2.7 claims under the Working Time Regulations 1998 and the Part-time Workers (Prevention of Less Favourable Treatment) Regulations 2000;

5.2.8 claims in connection with the Employee's membership of, or rights under, any pension scheme.

5.3 The settlement in clause 5.1 does not apply to: (a) any claim by the Employee to enforce the terms of this agreement; (b) any claim in respect of accrued pension rights; or (c) any claim for personal injury of which the Employee is not, and could not reasonably be, aware at the date of this agreement (other than a claim for personal injury arising from any psychiatric injury relating to the matters settled by this agreement, which is settled).

5.4 The Employee warrants that, save for the Claims, he is not aware of any other claim he may have against the Company or any Group Company, and that he has not issued any proceedings against the Company or any Group Company in any tribunal or court.

6 CONDITIONS REGULATING SETTLEMENT AGREEMENTS

6.1 The Employee confirms that, before entering into this agreement, he received independent legal advice from the Adviser, who is a relevant independent adviser, as to the terms and effect of this agreement and in particular its effect on his ability to pursue the Claims before an employment tribunal or court.

6.2 The Adviser will sign and deliver to the Company a certificate in the form set out in Appendix 1 confirming the matters required by section 203(3) of the Employment Rights Act 1996 and the equivalent provisions in the other relevant statutes.

6.3 The parties agree and acknowledge that the conditions regulating settlement agreements and compromise contracts under the Employment Rights Act 1996, the Equality Act 2010, the Working Time Regulations 1998 and the other relevant statutory provisions are intended to be and have been satisfied.

7 EMPLOYEE WARRANTIES

7.1 The Employee warrants as a strict condition of this agreement that: (a) he has disclosed to the Company all matters of which he is aware that constitute or might constitute a breach by him of his duties to the Company; (b) he is not aware of any circumstances that would have entitled the Company to terminate his employment summarily; and (c) he has not done or failed to do anything amounting to a repudiatory breach of the Service Agreement.

7.2 The Employee acknowledges that the Company has entered into this agreement in reliance on these warranties and that, if any of them is materially untrue or misleading, the Company may, without prejudice to any other remedy, recover from the Employee all sums paid under clause 4.1 (other than £100) as a debt, together with its reasonable costs of recovery.

8 TAX INDEMNITY

8.1 The Company will account to HM Revenue & Customs for the income tax and employee National Insurance contributions properly due in respect of the taxable elements of the payments under clause 4.1, as determined by the Company acting reasonably.

8.2 The Employee will be responsible for, and will indemnify the Company and each Group Company against, any further income tax, National Insurance contributions, interest, penalties and reasonable costs that may become payable in respect of the payments and benefits under this agreement (other than employer's National Insurance contributions and any tax or NIC that the Company was obliged to deduct at source and failed to deduct). The Company will give the Employee reasonable notice of any demand and a reasonable opportunity to make representations before any payment is made.

9 CONFIDENTIALITY

9.1 The Employee will keep confidential, and will not use or disclose to any person, the existence and terms of this agreement and the circumstances surrounding the termination of his employment, except: (a) to his spouse, immediate family and professional advisers on terms that they keep the information confidential; (b) to HM Revenue & Customs or where required by law; and (c) to a prospective employer to the extent reasonably necessary in relation to the restrictions in clause 11.

9.2 The Employee will continue to be bound by the confidentiality obligations in the Service Agreement, which survive the Termination Date, and will not at any time use or disclose any Confidential Information.

10 ANNOUNCEMENTS AND NON-DEROGATORY STATEMENTS

10.1 Neither party will make or publish (including on social media) any statement or do anything that disparages or is intended or likely to damage the reputation of the other party, or in the case of the Company any Group Company or its or their officers or employees. Nothing in this clause prevents either party from making a protected disclosure or giving evidence required by law.

10.2 The Company and the Employee will agree the wording of any internal and external announcement concerning the Employee's departure, and the Company will respond to any reference request in the terms of the agreed reference at Appendix 3.

11 POST-TERMINATION RESTRICTIONS

11.1 The Employee acknowledges and reaffirms the post-termination restrictions contained in clause 18 of the Service Agreement, which continue to bind him, subject to the variations in this clause 11. The parties agree that any period during which the Employee is on garden leave will be set off against, and reduce by an equivalent period, the duration of the corresponding restriction in clause 11.2(a).

11.2 For the period stated, beginning on the Termination Date, the Employee will not, without the prior written consent of the Company, directly or indirectly:

(a) for 9 months, be engaged or concerned in any business that competes with any part of the business of the Company or any Group Company in which the Employee was materially involved in the 12 months before the Termination Date, within the United Kingdom;

(b) for 12 months, solicit or entice away from the Company or any Group Company any person who was a customer or prospective customer of the Company with whom the Employee had material dealings in the 12 months before the Termination Date;

(c) for 12 months, deal with or supply any such customer or prospective customer in competition with the Company; and

(d) for 12 months, solicit or entice away from the Company or any Group Company any senior employee with whom the Employee worked in the 12 months before the Termination Date.

11.3 Each of the restrictions in clause 11.2 is a separate and severable undertaking, and is considered by the parties to be reasonable and necessary to protect the legitimate business interests of the Company. If any restriction is held to be void but would be valid if some part were deleted or its period reduced, it applies with such modification as is necessary to make it valid.

12 CO-OPERATION

12.1 For a period of 12 months after the Termination Date, the Employee will, at the Company's reasonable request and expense, provide reasonable assistance and information to the Company in relation to matters with which he was involved during his employment, including any investigation, dispute or proceedings.

13 GRIEVANCE AND ENTIRE AGREEMENT

13.1 The Employee withdraws the grievance dated 29 January 2026 and any appeal, and agrees that the matters raised in it are resolved by this agreement.

13.2 This agreement and the documents referred to in it constitute the entire agreement between the parties relating to its subject matter and supersede all previous agreements, except that the surviving provisions of the Service Agreement referred to in this agreement continue in force. Each party acknowledges that it has not relied on any representation not set out in this agreement.

14 GENERAL

14.1 Without prejudice and subject to contract. The parties agree that this agreement, although marked "without prejudice and subject to contract" during negotiations, becomes an open and binding agreement once signed and dated by both parties and the Adviser's certificate has been provided.

14.2 Third-party rights. Each Group Company and each officer and employee referred to in clause 5.1 may enforce the relevant terms of this agreement under the Contracts (Rights of Third Parties) Act 1999, but the parties may rescind or vary this agreement without their consent.

14.3 Variation and waiver. No variation of this agreement is effective unless in writing and signed by or on behalf of each party. No failure or delay in exercising a right is a waiver of it.

14.4 Counterparts. This agreement may be executed in any number of counterparts, each of which when executed constitutes an original, and all of which together constitute one agreement.

14.5 Governing law and jurisdiction. This agreement and any dispute arising out of or in connection with it are governed by the law of England and Wales, and the parties submit to the exclusive jurisdiction of the employment tribunals and the courts of England and Wales.

EXECUTED as an agreement

SIGNED by PHILIP MARSDEN	**SIGNED for and on behalf of HARROW PRECISION ENGINEERING LIMITED**
P. Marsden	G. Harrow
.....	.....
Philip Marsden	Gavin Harrow
Date: 27 March 2026	Managing Director
	Date: 27 March 2026

Appendix 1 – Adviser's Certificate; Appendix 2 – Letters of resignation as director; Appendix 3 – Agreed reference.